

- ¹⁶ A value stock is a stock that tends to trade at a lower price relative to its **fundamentals** (e.g. dividends, earnings and sales) and is thus considered **undervalued** by a **value investor**. A growth stock is a share in a company whose earnings are expected to grow at an above-average rate relative to the market. Source: <http://www.investopedia.com/terms/>.
- ¹⁷ The reason that value investing (i.e. buying stocks with low P/E and P/B multiples) works in the US but not in India is because: a) accounting quality is highly variable in India and often the companies with low P/E have fake earnings, which makes their P/E optically low; and b) since there is no market for ‘corporate control’ in India (due to the way takeover laws have been framed in the country), underperforming management teams with low P/E multiples do not get booted out in India.
- ¹⁸ A cyclical stock is a share whose price is affected by ups and downs in the overall economy.
- ¹⁹ More often than not, the Coffee Can Portfolio has produced annualized outperformance (relative to the Sensex) of 11.9 percentage points.